

Task1

Selection and research (Present your rationale for the choices in words and submit, give me your references and URLs for the entities if possible, either written or in slides)

I chose Goldman Sachs as the regulated entity in my research, selected credit scoring and algorithmic fairness as the research areas, and compared the United States and the European Union as the two jurisdictions.

The reason for choosing Goldman Sachs is its global business presence and long-standing core financial operations in multiple countries, including the United States and Europe. Operationally, it genuinely faces cross-jurisdictional compliance issues, thus requiring the ability to adjust the use of regulatory tools according to different jurisdictions. Furthermore, Goldman Sachs, as the issuing bank for Apple Card, faced controversy regarding whether credit limit allocation was disadvantageous to women. While no intentional discrimination was found, it clearly illustrates the public's and regulators' demand for fair and explainable algorithms.

Credit scoring and algorithmic fairness were chosen as the research topic because this field vividly illustrates the political and institutional dependence of RegTech tools. Credit scoring is a technical process that uses data and models to assess a borrower's credit risk, but in a legal and regulatory context, it also involves issues such as consumer protection, anti-discrimination, and fair lending.

The US and EU are used as comparison points because both are Goldman Sachs' primary operating areas and regions with advanced fintech and regulatory developments. In the US, adverse action notices are emphasized more in consumer credit scenarios, requiring financial institutions to provide specific and understandable reasons. The EU, on the other hand, emphasizes proactive governance of high-risk AI systems. Future tools could revolve around different compliance outputs of the same credit scoring model under different jurisdictions.

Reference articles or websites :

[1] Goldman Sachs <https://www.goldmansachs.com/>

[2] Banking Dive, Goldman cleared of bias claims in NYDFS's Apple Card probe

<https://www.bankingdive.com/news/goldman-sachs-gender-bias-claims-apple-card-women-new-york-dfs/597273/>

[3] CFPB, *CFPB Issues Guidance on Credit Denials by Lenders Using Artificial Intelligence*
<https://www.consumerfinance.gov/about-us/newsroom/cfpb-issues-guidance-on-credit-denials-by-lenders-using-artificial-intelligence/>

[4] EU AI Act resource, *Article 6: Classification Rules for High-Risk AI Systems*
<https://artificialintelligenceact.eu/article/6/>